

## *Philippines: Fiscal constraints limit options to boost lackluster growth*

送信者: EG Southeast Asia Biweekly 受信日時: 2026-08-12 17:53

### [【メール原文】](#)

The Marcos administration faces the challenge of bolstering lagging economic growth while working within tight fiscal constraints.|||||||

Southeast Asia Biweekly

[Customize Email Preferences](#)

Philippines: Fiscal constraints limit options to boost lackluster growth

12 Aug 2026 04:49 EDT [Discover more on the Portal](#)

- Philippines: Manila will ramp up infrastructure spending to fuel growth
- Indonesia: New central bank governor will face pressure to expand credit
- Indonesia: Government's high-speed rail takeover poses fiscal risk
- ASEAN: Southeast Asia is heavily exposed to US polysilicon tariffs
- Malaysia: Anwar likely to retain support of largest coalition party
- Malaysia: Rare earth export ban likely to remain despite talk of exceptions
- Charting ASEAN: Key currencies strengthening as US-Iran tensions ease
- Event calendar

Philippines

By Peter Mumford

Short-term trajectory:

Long-term trajectory:

Manila will ramp up infrastructure spending as economic growth falters. The Philippine economy grew just 2.3% year-on-year in the second quarter, the slowest rate since 2009 (excluding the Covid-19 pandemic) and below market expectations. For the first half, GDP expanded by 2.6%. The government has reduced its full-year forecast from 5-6% to 3.5-4.5% growth, though some private sector analysts believe the new target remains ambitious.

\*

Among the major ASEAN economies, the Philippines has been the most affected by the Iran war, given the country's high reliance on oil imports and its free-float fuel price system. In addition, the fallout from the flood-control projects corruption scandal has lasted longer than anticipated, slowing public infrastructure spending. Reduced agricultural output due to El Niño, slower growth of remittances from overseas Filipino workers, and weaker consumption amid higher inflation are also dampening growth.

\*

The administration has limited room for fiscal stimulus and tax cuts, though the government plans to raise the threshold at which individuals start paying personal income tax. Authorities will instead increase infrastructure investment to boost growth. They will work to clear remaining bottlenecks tied to the corruption scandal and press the bureaucracy to use allocated funds fully. Priority areas will include stalled transportation projects, several highways, flood management, and the expansion of the Malampaya natural gas field. Some projects will be public-private partnerships.

\*

The central bank said that, despite weak growth, further interest rate hikes remain possible if needed to contain rising prices. It will likely continue to prioritize inflation control and retain the political space to do so.

Indonesia

By Olga Letticia

Short-term trajectory:

Long-term trajectory:

Destry nomination eases some uncertainty, but growth pressures persist. On 10 August, President Prabowo Subianto nominated interim Bank Indonesia (BI) Governor Destry Damayanti as the sole candidate to formally lead the central bank, reducing uncertainty following Perry Warjiyo's resignation (see: New central bank governor will offer loose continuity , 10 August 2026). The key test will be whether Destry can reconcile the administration's push for faster credit growth with the need to defend the rupiah.

\*

Fiscal policy will also shape BI's operating environment. Finance Minister Purbaya Yudhi Sadewa has decided to keep 200 trillion rupiah (\$11.3 billion) of government funds in state-owned banks until July 2027, rather than withdraw them at the end of 2026, as originally planned. Separately, the government is moving an additional 200 trillion rupiah into state banks, bringing the total to 400 trillion rupiah (\$22.5 billion), although it will withdraw half after July 2027. The measure aims to increase funds available for lending.

\*

Government deposits in banks help support lending without requiring BI to loosen its policy rate, but they also affect system-wide liquidity that BI must manage. Purbaya recently said the government will strive for 6% GDP growth this year, higher than the 5.4% official target in the 2026 budget. Prabowo's longer-term goal is a highly ambitious 8% annual growth rate.

\*

Destry's closer alignment with the administration could reduce the policy tensions that reportedly emerged under Perry, but she will face pressure to accommodate the government's growth priorities. The 18-19 August monetary policy meeting will provide an early indication of how she intends to balance growth, inflation, and currency stability.

Government takeover of high-speed rail stakes raises fiscal risk. The Ministry of Finance is preparing to take a 60% stake in the operating company of the Jakarta-Bandung high-speed railway, Whoosh. A consortium of state-owned companies under Danantara, Indonesia's sovereign wealth fund, currently holds that stake. Purbaya said the transfer would be completed by mid-September.

\*

The takeover will shift majority ownership of Whoosh to the central government in an attempt to address the project's mounting debt. Chinese partners will continue to hold the remaining 40%. The project has faced significant cost overruns and debt-servicing difficulties; it has about \$7.2 billion of outstanding debt, roughly three-quarters of which is owed to China Development Bank.

\*

The immediate fiscal impact should be limited, as the government plans to keep debt payments outside the state budget. However, analysts have highlighted the risk that Whoosh's losses ultimately become a state liability. At a minimum, direct government control increases the state's exposure to Whoosh's completion and financial performance.

\*

Purbaya said the ministry will use one of its Special Mission Vehicles to manage the debt, although the government has not yet specified which vehicle or the precise funding mechanism. Those details will be an important watchpoint. Any eventual budget allocation, capital injection, or transfer of the project's liabilities onto the state balance sheet would immediately increase fiscal risk.

## ASEAN

By Fadli Yusoff

Several ASEAN countries are among the economies most affected by new US polysilicon trade barriers. On 6 August, President Donald Trump announced product-specific minimum import prices on polysilicon and solar products, plus a 15% tariff on select downstream products. The measures followed Section 232 investigations on polysilicon and its derivatives—key inputs for semiconductors and solar cells—and will take effect on 4 December. Trump's directive argued that foreign government policies had contributed to global polysilicon oversupply and undermined US producers' capacity.

\*

Indonesia, Laos, Malaysia, Thailand, and Vietnam are among the leading exporters to the US of the affected products. Solar manufacturers in Malaysia, Thailand, and Vietnam already face US antidumping and countervailing duties, while Indonesia and Laos are facing ongoing investigations, making the new measures, in effect, an escalation of Washington's effort to prevent Chinese solar supply chains from using Southeast Asia as an export platform.

\*

The measures will somewhat weaken the case for using ASEAN as an assembly base for some US-bound solar and semiconductor exports. Minimum import prices will constrain exporters' ability to compete through lower prices, and the new duties will also add to recent—and potentially forthcoming—Section 301 tariffs.

\*

Nevertheless, the directive offers a route to exemptions through company-specific "onshoring agreements." Firms that commit to "build, refurbish, or expand a facility" in the US that will produce covered products will be allowed to export those products to the US in certain volumes tariff-free within a certain time period. That provision could help to protect the role of Southeast Asian countries in the global polysilicon supply chain.

## Malaysia

By Fadli Yusoff

Short-term trajectory:

Long-term trajectory:

DAP likely to remain in government despite growing speculation it will quit. The Democratic Action Party (DAP), the largest party in Prime Minister Anwar Ibrahim's Pakatan Harapan (PH) coalition, will hold its National Congress on 16 August. The more than 4,000 delegates expected at the gathering will vote on whether DAP should continue to hold government positions. The move comes in response to growing dissatisfaction among party members over a series of losses in state polls and the lack of federal governance reforms.

\*

DAP will likely remain in government to retain its cabinet portfolios, funding, and ability to influence policy. Leaving would cede political space to rivals, including the resurgent conservative Barisan Nasional (BN) coalition, at the federal and state levels. Contacts indicated that the motion is intended to curb mounting pressure on current leaders from a rival faction within the party.

\*

If DAP were to exit the cabinet, it would likely stop short of withdrawing parliamentary support for Anwar. This approach would allow the party to distance itself from unpopular government decisions and BN while avoiding responsibility for triggering a political crisis or letting a conservative-led government seize power. Anwar would therefore remain in office, but with a more fragmented coalition.

\*

Anwar will likely address DAP's disgruntlement with selected governance reforms and policies benefiting urban and ethnic-minority voters. At the same time, he will probably rely more on public spending and "lawfare" against opponents to preserve his coalition. Anwar is rumored to be in discussions with smaller parties Bersatu and Muda to expand his coalition, though both have indicated a preference to remain in the opposition (and may form a pact).

Unprocessed rare earth export ban likely to remain despite deputy minister's comments. Deputy Minister of Natural Resources and Environmental Sustainability Syed Ibrahim Syed Noh recently said that the government is considering limited exports under strict conditions tied to investment and technology transfer. However, he also stressed that the proposal remains under review and gave no timeline for a decision.

\*

Syed's statement looks like an attempt to defuse pressure from states and investors. State authorities in particular have been pushing for greater export flexibility to raise revenue under their direct control. For now, the deputy minister's remarks look largely like posturing, as the government is unlikely to change the policy before the current moratorium expires at the end of 2027.

\*

The likely eventual outcome is case-by-case export exemptions for projects that offer credible domestic value-added activity, mining technology transfer, and robust environmental safeguards. Such a framework would give the federal government flexibility to accommodate state interests, especially ahead of the general elections, while continuing to attract investment.

\*

Even so, Malaysia will probably continue to tightly restrict exports of unprocessed rare earths. The government wants to build a domestic value chain by effectively requiring foreign investors to establish local processing capacity if they want access to Malaysia's rare earth reserves.

Charting ASEAN

Improved prospects for a US-Iran agreement and broader de-escalation have pushed oil prices lower, supporting most major ASEAN currencies. Net oil importers Philippines, Thailand, and Indonesia have posted strong currency gains since late July, as cheaper energy reduced pressure on current accounts and fiscal balances (particularly where governments still subsidize fuel). In Malaysia, the ringgit has stayed flat in recent weeks, reflecting the country's position as a net oil and gas exporter.

Event calendar

Peter Mumford

Practice Head, Southeast Asia

+65 6653.4316

mumford@eurasiagroup.net

Fadli Yusoff

Analyst, Southeast Asia

yusoff.ne@eurasiagroup.net

Olga Letticia

Associate, Southeast Asia

letticia.ne@eurasiagroup.net

Melinda Hoe

Associate, Southeast Asia

+65 6653.4318

hoe@eurasiagroup.net

EG Southeast Asia Biweekly

southeastasia@eurasiagroup.net

© 2026 Eurasia Group. All rights reserved. This material was produced by Eurasia Group for use by the recipient. This is intended as general background research and is not intended to constitute advice on any particular commercial investment or trade matter or issue and should not be relied upon for such purposes. It is not to be made available to any person other than the recipient. No part of this publication may be reproduced, stored in a retrieval system, or transmitted in any form or by any means, electronic or otherwise, without the prior consent of Eurasia Group.

X-HG-DocID cmsprhrdxyxj107lombk62mmh

[Opt Out](#) | [Customize Email Preferences](#)